



STRATEGIC MANAGEMENT

Company - SUN PHARMA & PFIZER

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Q&A

1. What is the company Vision and Mission? Also provide a formal source of reference for both the companies.

- Vision and Mission Statements

Sun Pharma:

Vision: "Reaching People And Touching Lives Globally As A Leading Provider Of Valued Medicines." [Sun Pharmaceutical Industries Ltd.+3Sun Pharmaceutical Industries Ltd.+3Sun Pharmaceutical Industries Ltd.+3](#)

Mission: While Sun Pharma does not explicitly state a formal mission statement on their official website, their commitment is reflected in their Corporate Social Responsibility (CSR) mission: "We will leverage our people, expertise and networks to address the needs of the communities that we serve and thereby catalyze overall development." [CSR | Sun Pharmaceutical Industries Limited](#)

Pfizer:

Purpose (equivalent to Vision): "Breakthroughs that change patients' lives." [Sun Pharmaceutical Industries Ltd.+17Panmore Institute+17Pfizer+17](#)

Mission: "It's our mission to be the premier, innovative biopharmaceutical company, making breakthroughs that change patients' lives." [Pfizer+1Pfizer+1](#)

2. Report its profitability based on the annual report explain what you understand from it? Also provide a formal source of reference for the annual report.

- Profitability Based on Annual Reports

Sun Pharma (FY 2023-24):

Sun Pharma reported gross sales of ₹432,789 million, marking a 12.6% growth over the previous fiscal year. This indicates a robust increase in revenue, reflecting the company's effective market strategies and strong demand for its products. [Sun Pharmaceutical Industries Ltd.](#)

Pfizer (FY 2023):

Pfizer's full-year 2023 revenues totaled \$58.5 billion, a decrease of 42% compared to the previous year. This decline was primarily due to a significant reduction in revenues from their COVID-19 products. Excluding these products, Pfizer achieved a 7% operational revenue growth, aligning with expectations for non-COVID-19 product revenues. This suggests that while the company faced challenges with its COVID-19 portfolio, its core pharmaceutical segments continued to perform well.

[Pfizer+2SEC+2Q4 Capital+2Pfizer+1annualreview.pfizer.com+1](#)

3. Identify Two Key Sources of Sun Pharma and Pfizer (tangible / intangible / Human) Justify your answer.

Sun Pharma:

- **Tangible Resource:** Extensive global manufacturing facilities. Sun Pharma operates numerous manufacturing sites worldwide, enabling large-scale production and distribution of pharmaceuticals. This infrastructure supports their vision of reaching people globally. [Editable Templates+1Homepage | Pfizer Limited+1Sun Pharmaceutical Industries Ltd.+3Sun Pharmaceutical Industries Ltd.+3Sun Pharmaceutical Industries Ltd.+3](#)
- **Intangible Resource:** Strong brand reputation and customer trust. Sun Pharma's commitment to quality and patient care has established a reputable brand in the pharmaceutical industry, fostering customer loyalty and trust.

Pfizer:

Human Resource: Highly skilled research and development team. Pfizer's focus on innovation is driven by its team of scientists and researchers dedicated to developing breakthroughs that change patients' lives. [Business Strategy Hub+6Pfizer+6Pfizer+6](#)

Intangible Resource: Robust intellectual property portfolio. Pfizer holds numerous patents for its pharmaceutical innovations, providing a competitive edge in the market. This portfolio is crucial for maintaining market exclusivity and driving revenue.

4. Identify two key capabilities (operational / dynamic) Justify your answer.

Sun Pharma:

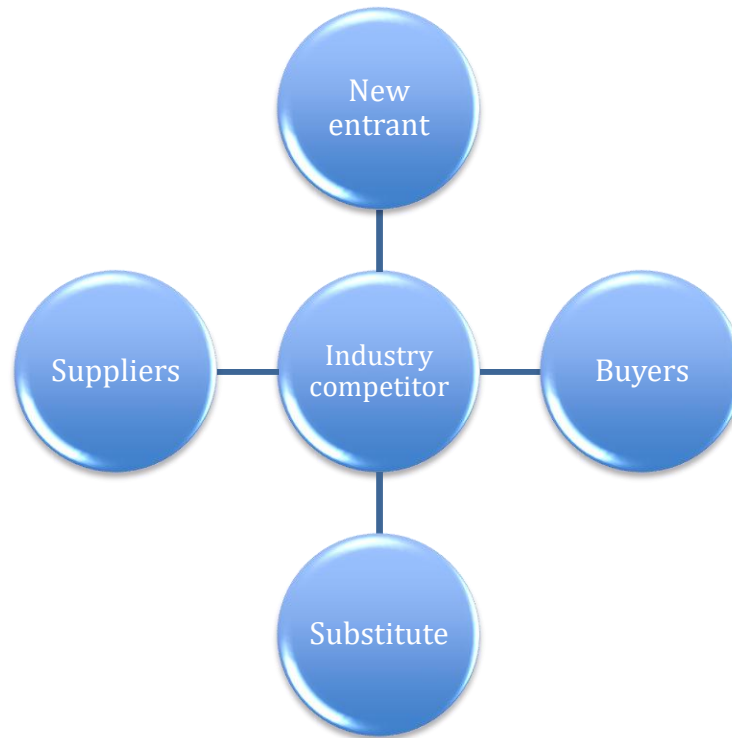
- **Operational Capability:** Efficient supply chain management. Sun Pharma's ability to manage a complex global supply chain ensures timely delivery of products and responsiveness to market demands. This efficiency supports their extensive distribution network. [Axios](https://www.axios.com/sponsored/pfizers-bold-mission-to-outdo-cancer?utm_source=chatgpt.com)
HYPERLINK "https://www.axios.com/sponsored/pfizers-bold-mission-to-outdo-cancer?utm_source=chatgpt.com"
- **Dynamic Capability:** Adaptability in product portfolio. Sun Pharma has demonstrated agility in expanding its product range to include specialty generics and complex formulations, responding effectively to evolving market needs and opportunities. [Sun Pharmaceutical Industries Ltd.](#)

Pfizer:

- **Operational Capability:** Strong commercialization and marketing strategies. Pfizer's well-established marketing and sales teams effectively launch and promote new products, ensuring widespread market penetration and adoption.
- **Dynamic Capability:** Strategic partnerships and acquisitions. Pfizer actively engages in collaborations and acquisitions to bolster its product pipeline and expand into new therapeutic areas, exemplifying its ability to adapt and grow in a competitive landscape.

These analyses highlight the strategic orientations and operational strengths of Sun Pharma and Pfizer, reflecting their approaches to sustaining growth and competitiveness in the pharmaceutical industry.

5. Draw and express five forces diagrams with one key entry for each force.



	Sun Pharma	Pfizer
Industry Rival	High: primarily competes with Indian and global generic manufacturers, with pricing being a key battleground. Aurobindo Pharma: in Antibiotics, cardiovascular drugs, Dr. Reddy's: in generic formulations, Cipla: generic respiratory medicines, Lupin: Cardiovascular/ diabetes	High: Faces competition from other major pharma companies like Novartis, Merck, and J&J, especially in innovation-driven drug categories. Faces strong competition from Merck, Novartis, and Johnson & Johnson for blockbuster drugs, especially in oncology and vaccines.
New Entrant	Moderate: Indian pharmaceutical regulations create some entry barriers, but domestic players can still emerge. New generic drug companies like Alkem Laboratories and Lupin enter the Indian	Low: Strict FDA regulations and high R&D costs deter new entrants in developed markets like the US and Europe. Strict FDA regulations and high R&D costs make it difficult for new players to

	market frequently due to lower R&D costs.	compete in the patented drug segment (e.g., Biotech startups struggle to develop new drugs like Pfizer's mRNA vaccines).
Supplier	Moderate: relies on active pharmaceutical ingredient (API) suppliers, but India has a strong domestic API industry reducing dependency. Sun Pharma sources APIs from Indian suppliers like Divis Labs, reducing dependency on external sources.	High: Limited global suppliers for patented drug ingredients, giving them more pricing power. Pfizer relies on specialized biotech suppliers (e.g., BioNTech for vaccine components), limiting supplier options and increasing costs.
Buyer	High: Generic drug buyers (hospitals, pharmacies, governments) have strong negotiating power due to price sensitivity. Large government healthcare programs and distributors (e.g., Indian government bulk purchases for generic medicines) negotiate aggressively on price.	Moderate: Consumers depend on branded drugs for innovation, but insurance companies and government policies influence pricing. Insurance companies in the US (e.g., UnitedHealth Group) influence Pfizer's drug pricing and reimbursement policies.
Substitute	High: Other generic manufacturers offer similar medicines, increasing price competition. Alternative generic medicines from competitors like Cipla or Dr. Reddy's provide cheaper options.	Moderate: Some patented drugs face competition from alternative treatments, but brand loyalty provides some protection. For lifestyle drugs (e.g., Viagra), alternatives like natural supplements or other pharmaceutical brands exist but do not fully replace patented drugs.

6. State a competitive cost advantage for identified products or services.

Companies	Competitive cost advantage
Sun Pharma	Active Pharmaceutical Ingredients (API) production is a major competitive cost advantage for Sun Pharma. Owning and manufacturing its own APIs allows the company to reduce production costs, maintain supply chain control, and compete effectively in the generics and specialty drug markets.

	- Many pharmaceutical companies outsource APIs, making them dependent on suppliers, which increases costs. - Sun Pharma produces its own APIs, significantly reducing the cost of raw materials. - o During the COVID-19 pandemic, API shortages impacted many pharma companies. - o Sun Pharma, with its API manufacturing units, continued to produce generics without major supply disruptions, maintaining its cost advantage.
Pfizer	R&D Scale & Efficiency Reduce Per-Drug Development Costs - Pfizer invests heavily in R&D, but its large-scale operations allow the company to spread these costs across multiple breakthrough drugs. - o The success of blockbuster drugs like Eliquis (blood thinner) and Prevnar (vaccine) offsets high R&D costs, making the entire pipeline more cost-effective. - mRNA Technology Lowers R&D & Manufacturing Costs - o Pfizer's investment in mRNA vaccine technology reduces the need for complex biological processes used in traditional vaccines. - o Comirnaty (COVID-19 vaccine) was developed in under a year, with a cost-effective mRNA platform that can be repurposed for other vaccines (e.g., flu, RSV), saving future R&D cost

7. State a competitive differentiation advantage for an identified product or service.

Companies	Competitive differentiation advantage
Sun Pharma	Specialisation in Specialized generics is a differentiator for Sun Pharma. Sun Pharma's expertise in this space positions it uniquely against both generic and branded pharmaceutical competitors. - Sun Pharma dominates specialized generics in dermatology, ophthalmology, and oncology, setting it apart from generic manufacturers focused on standard oral solids. - Sun Pharma's specialized oncology generics (e.g., generic Bortezomib for multiple myeloma) require advanced

	formulation techniques, making them more complex to produce than simple small-molecule generics.
Pfizer	Pfizer's Competitive Differentiation Advantage in the COVID-19 Vaccine - Pfizer's Comirnaty (developed with BioNTech) was the first-ever FDA-approved mRNA COVID-19 vaccine, giving it an early-mover advantage over traditional vaccines. - While competitors like AstraZeneca and Johnson & Johnson relied on viral vector technology, Pfizer's mRNA innovation set it apart with higher efficacy rates. - The high efficacy and rapid adaptability to new variants positioned Pfizer as the leading COVID-19 vaccine provider worldwide. - Pfizer quickly adapted its mRNA platform to create booster shots and Omicron-specific variants. This ability to update vaccines quickly for new variants kept Pfizer ahead of competitors like Moderna and Novavax.

8. Give an example of Horizontal Integration.

9. Give an example of Vertical Integration.

10. Identify a company as one of international, multi-domestic, global, or transnational. Justify your answer for each.

11. Give an example of diversification. Justify your answer.

- **Sun Pharma :** The company's primary focus is to in-license generic and differentiated generic products that are close to commercialization or in advanced stage of development for North America, Western Europe and Japan markets.

Over the last few years, Sun Pharma has been focusing on branded specialty products which include New Chemical Entities, New Molecular Entities, Biologics and Novel technologies. Sun Pharma is actively looking into business expansion through in-licensing, M&A and out-licensing activities for branded products. Sun Pharma also has a strategic interest in establishing Joint Ventures and Research Partnerships with world-renowned academia and institutes.

For branded business, Sun Pharma is interested in expanding its footprint globally, main geographies of interest being North America, Europe, Japan and Emerging Markets.

The focus therapy areas for branded specialty business are ophthalmology, dermatology and oncology. However, being entrepreneur in nature, Sun Pharma also remains highly interested in high-potential breakthrough opportunities outside these therapy areas. [Business Development - Sun Pharmaceutical Industries Ltd.](#)

- **Pfizer:** Pfizer Inc is a New York based pharmaceutical company. The company is the largest research based pharmaceutical group in sales around the world. It should be known that the company is the world's largest pharmaceutical company.

The company has a wide range of productions that have continued to entice the market. These productions include Lipitor, Diflucan, Viagra, Celebrex, Zithromax and others.

The company's diversified portfolio includes:

- Nutrition Unit's portfolio includes a full line of infant formulas, follow-on formulas, growing-up milks, and prenatal and adult supplements. In 2011, Pfizer launched 32 new products, including the reformulated Gold line, illumina, Picky Eater, Specials, Bonna and Enercal Plus.
- Pfizer Consumer Healthcare is one of the largest over-the-counter (OTC) health care product businesses in the world. Millions of people rely on our products to live healthier lives—using them to relieve pain, control coughs and balance nutrition, among other needs.
- Pfizer actively participates in discovery, development, and manufacture of innovative animal vaccines, medicines and diagnostics, to help ensure a safe, sustainable global food supply from healthy beef and dairy cattle, pigs, poultry and fish—while helping companion animals and horses live

longer, healthier lives. [Diversified Businesses - Pfizer 2011 Annual Review](#) | [Pfizer: the world's largest research-based pharmaceutical company](#)

12. Place a major division of the company in one of the sections of EITHER the BCG matrix or GE McKinsey matrix. Justify your answer for each.

- **Sun Pharma:** The Generic Medication division of Sun Pharma falls under the **Cash Cow** category of BCG Matrix, as :
 1. **High Market Share-** Since sun pharma is a global leader in generic medicine industry in US and India
 2. **Low Market Growth-** the generic medicine market is mature with relatively steady demand, hence show a low growth/expansion rate.
 3. **Stable Revenue-** Generic medicines provide a consistent and high revenue stream with low investment needs making them Cash Cow for the company. [\[2025\] Sun Pharma BCG Matrix / Growth Share Matrix Analysis](#)

- **Pfizer:** The Covid-19 Vaccine of Pfizer can be placed under the **Star** category of BCG matrix as:
 1. **High Market Share-** Pfizer was one of the first companies to launch the Covid-19 vaccine which eventually dominated the global market specially in US and Europe.
 2. **High Market Growth-** Since the demand for Covid-19 vaccine was high during the pandemic, the market growth seen by this product was very high.
 3. **High Revenue-** Though high investments were required in the R&D, manufacturing and distribution of the vaccines, they still generated very high revenue considering the global demand of the product, making it a STAR product for the company.

13. Given an example of strategic alliance. An alliance partner should be identified together with the nature of the alliance. Justify your answer.

Strategic Alliance of Sun Pharma

One significant strategic alliance of Sun Pharma is its alliance with **Merck & Co. (MSD)** for the anti-cancer drug **Tildrakizumab**.

- **Nature of the Alliance:** Licensing and Co-development Agreement

- Sun Pharma entered into a licensing agreement with Merck & Co. to acquire worldwide rights for Tildrakizumab, an innovative monoclonal antibody used for treating psoriasis and being explored for other autoimmune diseases.
- Under the alliance, Merck initially developed the drug and conducted early clinical trials, while Sun Pharma took over development, regulatory filings, and commercialization.
- Merck continued to receive milestone payments and royalties from Sun Pharma's sales of the drug.

Hence, this strategic alliance between Sun Pharma and Merck was a win-win collaboration, allowing Sun Pharma to expand its specialty drug pipeline while providing Merck with revenue without full commercialization responsibilities.

[Merck & Co., Inc., and Sun Pharma Establish Joint Venture to Develop and Commercialize Novel Formulations and Combinations of Medicines in Emerging Markets - Merck.com](#)

Strategic Alliance of Pfizer

One significant strategic alliance of Pfizer is its partnership with **BioNTech** for the development of the COVID-19 vaccine, **Comirnaty (BNT162b2)**.

- **Nature of the Alliance:** Co-Development and Commercialization Agreement

- In 2020, Pfizer and BioNTech entered into a strategic alliance to co-develop and distribute an mRNA-based COVID-19 vaccine.
- BioNTech provided the mRNA technology and conducted early research, while Pfizer led the clinical trials, manufacturing, and global distribution.
- Both companies shared costs and profits from vaccine sales.

This strategic alliance between Pfizer and BioNTech was a game-changer, enabling rapid innovation, large-scale production, and global distribution of a life-saving vaccine. It demonstrated the power of collaboration in responding to a global health crisis. [Pfizer-BioNTech COVID-19 vaccine - Wikipedia](#)

14. Give an example of innovation. Is an innovation incremental or radical? Justify your answer for each.

Innovation In Sun Pharma: Incremental

An innovation by Sun Pharmaceuticals is the development of WINLEVI) Cream, a for acne treatment. Acne treatments already existed, WINLEVI represents an improvement in topical treatments rather than a completely radical shift in acne management.

WINLEVI is an incremental innovation because it enhances current acne treatments rather than revolutionizing the industry. It introduces a unique androgen-blocking mechanism but still operates within a familiar treatment framework.

Innovation In Pfizer: Radical

An innovation by Pfizer is the development of its mRNA-based COVID-19 vaccine, Comirnaty (BNT162b2), in partnership with BioNTech.

Comirnaty is a radical innovation because it introduced a groundbreaking new technology (mRNA vaccines), significantly changed how vaccines are developed, While traditional vaccines used inactivated viruses, live attenuated viruses, or viral proteins, the mRNA vaccine, however, used genetic instructions to train the immune system, making it a fundamentally new technology.

While typical vaccine development takes years or even decades, Pfizer's mRNA vaccine was developed in less than a year.

Its success has laid the foundation for an entirely new class of medicines, making it a radical innovation of its time. [Pfizer-BioNTech COVID-19 vaccine - Wikipedia](#)